

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 947

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO IDAHOMES FOR IDAHO CITIZENS NOT CORPORATIONS; AMENDING CHAPTER 1, TITLE 55, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 55-116, IDAHO CODE, TO ESTABLISH PROVISIONS PROHIBITING THE PURCHASE OF SINGLE-FAMILY HOMES BY INSTITUTIONAL INVESTORS, TO DEFINE TERMS, TO PROVIDE FOR ENFORCEMENT, AND TO PROVIDE FOR IMMUNITY FROM LIABILITY; AMENDING SECTION 55-103, IDAHO CODE, TO REVISE A PROVISION REGARDING EXCEPTIONS TO WHO MAY OWN PROPERTY AND TO MAKE A TECHNICAL CORRECTION; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Chapter 1, Title 55, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 55-116, Idaho Code, and to read as follows:

55-116. IDAHOMES FOR IDAHO CITIZENS NOT CORPORATIONS. (1) On and after July 1, 2026, an institutional investor, as defined in this section, shall not be permitted to purchase or acquire a controlling interest in the ownership of a single-family home property in Idaho.

(2) For the purpose of this section:

(a) "Home builder" means an entity whose primary business is the construction of new single-family homes that are offered for sale to individual buyers and are not for long-term rental purposes.

(b) "Institutional investor" means any corporation, limited liability company, limited partnership, partnership, or other corporate structure with more than one (1) member that purchases or otherwise acquires title or ownership to single-family dwellings for the purpose of profit. "Institutional investor" does not include the following, regardless of how they hold real property: a home builder, remodeler, natural person, marital community, family trust or estate, nonprofit, community land trust, tribal housing, or a foreclosure or deed-in-lieu acquisition by a lender or servicer with a mandatory disposition window.

(c) "Single-family home" means a residential structure that is intended for occupancy by one (1) family, such as a detached house.

(3) An institutional investor that acquires, directly or indirectly, control of a single-family home property on or after July 1, 2026, by devise, by descent, through the enforcement of security interests, or through the collection of debts, must sell, transfer, or otherwise divest itself of such property within one hundred eighty (180) days of acquiring control of the property.

(4) If an institutional investor does not divest the single-family home property as required by this section, the attorney general shall commence an action in the district court within the jurisdiction of the property.

(5) If the property is held in violation of this section, the district court shall order that the property be sold through judicial foreclosure. Proceeds of the sale shall be disbursed to lienholders, in the order of priority, except for liens that, under the terms of the sale, are to remain on the property.

(6) The responsibility for determining whether an institutional investor is subject to the provisions of this section rests solely with the institutional investor and the attorney general. An individual or entity who is not an institutional investor shall not be required to determine or inquire whether another person or entity is or may be subject to the provisions of this section and shall bear no civil or criminal liability under this section.

SECTION 2. That Section 55-103, Idaho Code, be, and the same is hereby amended to read as follows:

55-103. WHO MAY OWN PROPERTY. (1) Except as provided in subsection (2) or (3) of this section or as otherwise provided in this chapter, any person, whether citizen or alien, may take, hold, and dispose of property, real or personal.

(2) Notwithstanding any provision of law to the contrary, on and after the effective date of this subsection, a foreign government or a foreign state-controlled enterprise shall not purchase, acquire, or hold any controlling interest in agricultural land, forest land, water rights, mining claims, or mineral rights in the state of Idaho. This subsection does not apply to any interest in agricultural land, forest land, water rights, mining claims, or mineral rights acquired by a foreign government or foreign state-controlled enterprise prior to the effective date of this subsection or to any foreign pension fund.

(3) Notwithstanding any other provision of law to the contrary, a foreign principal from a foreign adversary shall not purchase, acquire, or hold any controlling interest, except a de minimis indirect interest, in agricultural land, water rights, mining claims, or mineral rights in the state of Idaho. A foreign principal has a de minimis indirect interest if any ownership is the result of the foreign principal's ownership of registered equities in a publicly traded company owning the land and if the foreign principal's ownership in the company is either:

(a) Less than five percent (5%) of any class of registered equities or less than five percent (5%) in the aggregate in multiple classes of registered equities; or

(b) A noncontrolling interest in an entity controlled by a company that is both registered with the United States securities and exchange commission as an investment advisor under the investment advisers act of 1940, as amended, and is not a foreign entity.

(4) A foreign principal that directly or indirectly owns or otherwise controls agricultural land, water rights, mining claims, or mineral rights in the state of Idaho must sell, transfer, or otherwise divest itself of the agricultural land, mining claims, or mineral rights within one hundred eighty (180) days of the effective date of this act.

(5) A foreign principal that directly or indirectly owns or acquires agricultural land, water rights, or any interest in such land in this state

1 must register with the Idaho state department of agriculture within sixty
2 (60) days of the effective date of this act or the date of acquisition,
3 whichever is latest. The department must establish a form for such registra-
4 tion, which, at a minimum, must include all of the following:

5 (a) The name of the owner of the agricultural land, water rights, or the
6 owner of the interest in such land;

7 (b) The address of the agricultural land, the property appraiser's par-
8 cel identification number, and the property's legal description; and

9 (c) The number of acres of agricultural land.

10 (6) A foreign principal that directly owns or acquires mining claims
11 or mineral rights or any interest in such claims in this state must register
12 with the Idaho department of lands and the Idaho secretary of state within
13 sixty (60) days of the effective date of this act or the date of acquisition,
14 whichever is latest. The foreign principal shall be registered to do busi-
15 ness with the Idaho secretary of state's office. The Idaho department of
16 lands shall provide the form for such registration, which at a minimum must
17 include the following:

18 (a) The mineral lease number with lease length and premises by parcel
19 and acres; and

20 (b) The application for use of state land by the individual or legal en-
21 tity.

22 (7) Notwithstanding the provisions of subsection (3) of this section, a
23 foreign principal from a foreign adversary country may acquire agricultural
24 land, mining claims, or mineral rights on or after July 1, 2025, by devise
25 or descent, through the enforcement of security interests, or through the
26 collection of debts, provided that the foreign principal sells, transfers,
27 or otherwise divests itself of the agricultural land, water rights, mining
28 claims, or mineral rights within one hundred eighty (180) days of acquiring
29 the agricultural land, mining claims, or mineral rights.

30 (8) The provisions of subsections (3) through (7) of this section shall
31 not apply to an entity that has a national security agreement with the com-
32 mittee on foreign investment in the United States as of July 1, 2025, and
33 maintains such national security agreement.

34 (9) The Idaho state department of agriculture and department of lands
35 shall adopt rules, subject to legislative approval, to implement the provi-
36 sions of this section.

37 (10) The responsibility for determining whether an entity is subject to
38 this section rests solely with the foreign entity, the attorney general, or
39 any qualifying whistleblower, and no other individual or entity. An indi-
40 vidual or entity who is not a foreign entity shall not be required to deter-
41 mine or inquire whether another person or entity is or may be subject to the
42 provisions of this section and shall bear no civil or criminal liability un-
43 der this section.

44 (11) If a foreign principal from a foreign adversary country does not
45 divest the public or private lands, mining claims, or mineral rights as re-
46 quired by this section, the attorney general shall commence an action in the
47 district court within the jurisdiction of the public or private land, mining
48 claims, or mineral rights.

1 (12) If the public or private land is held in violation of this sec-
 2 tion, the district court shall order that the public or private land be sold
 3 through judicial foreclosure.

4 (13) Proceeds of the sale shall be disbursed to lienholders, in the or-
 5 der of priority, except for liens that, under the terms of the sale, are to
 6 remain on the public or private land.

7 (14) Any individual may act as a whistleblower and provide a referral to
 8 the office of the attorney general for violations of this section.

9 (15) If a whistleblower referral results in a divestiture of land, min-
 10 ing claims, or mineral rights or other assets held in violation of this sec-
 11 tion, the whistleblower shall be entitled to a reward equal to thirty percent
 12 (30%) of the proceeds of the land, mining claims, mineral rights, or asset
 13 sale resulting from a violation of this section after payment of lienhold-
 14 ers. Proceeds of the sale shall be disbursed in the following order:

15 (a) To bona fide lienholders, in order of priority, except for liens
 16 that, under the terms of the sale, are to remain on the property;

17 (b) The payment of authorized costs of the sale, including all approved
 18 fees and expenses of the referee and any taxes and assessments due;

19 (c) The payment, in an amount approved by the court, to the attorney
 20 general for reimbursement of investigation and litigation costs and ex-
 21 penses;

22 (d) To whistleblowers; and

23 (e) To the restricted foreign entity.

24 (16) The whistleblower enforcement provision takes effect one hundred
 25 eighty (180) days after the enforcement date of this section.

26 (17) As used in this section:

27 (a) "Agricultural land" shall have the same meaning as "land actively
 28 devoted to agricultural purposes" as provided in section 63-604, Idaho
 29 Code.

30 (b) "Controlling interest" means:

31 (i) Possession of more than fifty percent (50%) of the ownership
 32 interest in an entity; or

33 (ii) A percentage of ownership interest in an entity that is fifty
 34 percent (50%) or less if a foreign government actually directs the
 35 business and affairs of the entity without the requirement or con-
 36 sent of any other party.

37 (c) "Foreign adversary" means any foreign government or foreign non-
 38 government person engaged in a long-term pattern or serious instances
 39 of conduct significantly adverse to the national security of the United
 40 States or security and safety of United States persons as determined un-
 41 der 15 CFR 791.4, as it existed on January 1, 2025.

42 (d) "Foreign government" means a government other than the federal gov-
 43 ernment of the United States or the government of any state, political
 44 subdivision of a state, territory, federally recognized Indian tribe,
 45 or possession of the United States.

46 (e) "Forest land" means privately owned or state-owned land being held
 47 and used primarily for the continuous purpose of growing and harvesting
 48 trees of a marketable species. Having met the above criteria, forest
 49 land includes:

(i) Forest land is land evidenced by present use and silvicultural treatment.

(ii) Forest land is land that has a dedicated use that is further evidenced by a forest land management plan that includes eventual harvest of the forest crop.

(iii) Forest land is land bearing forest growth or land that has not been converted to another use.

(iv) Forest land is land that has had the trees removed by man through harvest, including clear-cuts or by natural disaster, such as but not limited to fire, and which within five (5) years after harvest or initial assessment will be reforested as specified in the forest practices act, chapter 13, title 38, Idaho Code.

(f) "Foreign pension fund" means a trust, corporation, or other entity created or organized under the law of a country other than the United States to provide retirement or pension fund benefits. However, the term "foreign pension fund" shall not include any trust, corporation, or other entity that is owned by or subject to a controlling interest of a sovereign wealth fund.

(g) "Foreign principal" means:

(i) The government or any official of the government of a foreign adversary;

(ii) A political party or member of a political party or any subdivision of a political party of a foreign adversary;

(iii) A partnership, association, corporation, organization, or other combination of persons organized under the laws of or having its principal place of business in a foreign adversary, or a subsidiary of such entity, owned or controlled wholly or in part by any person, entity, or collection of persons or entities of a foreign adversary;

(iv) Any person who is domiciled in a foreign adversary and is not a citizen or lawful permanent resident of the United States; and

(v) Any person, entity, or collection of persons or entities described in this paragraph having a controlling interest in a partnership, association, corporation, organization, trust, or any other legal entity or subsidiary formed for the purpose of owning real property.

(h) "Mineral right" shall have the same meaning as provided in section 47-701, Idaho Code.

(i) "Mining claim" means a portion of land containing minerals that a miner has a right to occupy and possess for the purpose of extracting minerals.

(j) "State-controlled enterprise" means a business enterprise, however denominated, sovereign wealth fund, or state-backed investment fund in which a foreign government has a controlling interest.

(k) "Water right" shall have the same meaning as provided in section 42-230, Idaho Code.

~~(4)(a)~~ (18)(a) The attorney general shall investigate acquisitions of interests in real property reasonably suspected of violating the prohibitions provided for in subsection (2) of this section upon receipt of a complaint alleging such violation.

(b) The attorney general shall enforce the prohibitions provided for in subsection (2) of this section for any interest in land, rights, or claims held in violation of the provisions of subsection (2) of this section by petitioning the district court for an order and judgment that: finds such violation; appoints a receiver; and authorizes the receiver to sell such land, rights, or claims. For a receivership proceeding under this section:

(i) Proceeds of the sale shall be disbursed to lienholders, in order of priority, except for liens that, under the terms of the sale, are to remain on the land, rights, or claims;

(ii) At the receivership sale, lienholders shall be permitted to have a credit bid; and

(iii) Any excess proceeds shall be disbursed to the owner of record of the real property.

(c) Upon the commencement of an action provided for in this section, the attorney general shall promptly file a notice of lis pendens with the court.

(d) Upon the entry of a court order appointing a receiver and authorizing the receiver's powers to sell the property pursuant to the provisions of this section, the attorney general shall promptly record a copy of the court order in the office of the county where the property is located that is responsible for the maintenance of property records.

(e) No title to land, rights, or claims shall be invalid or subject to divestiture due to a violation of the provisions of this section by any former owner or other individual or entity having formerly held or owned an interest in the real property.

(f) Divestiture of a foreign government's or foreign state-controlled enterprise's title under this section shall not be a basis to void, invalidate, or otherwise extinguish any bona fide mortgage, lien, or other interest granted by, through, or under the foreign government or foreign state-controlled enterprise.

(g) No person or entity that is not a foreign government or a foreign state-controlled enterprise shall bear any civil or criminal liability for failing to determine or to make an inquiry about whether an individual or other entity is a foreign government or a foreign state-controlled enterprise.

SECTION 3. An emergency existing therefor, which emergency is hereby declared to exist, this act shall be in full force and effect on and after July 1, 2026.